

A Look into Unicorns

An extension on Angela Tran Kingyen's lecture

What is a unicorn? In the financial world, a unicorn is a company valued at over \$1 billion [1], and the name is fitting because like the mythical unicorn, these companies are so rare to find. Another criteria needed to be considered a unicorn is that the company has to be a privately held startup [2], meaning it is an entrepreneurial venture whose shares are not open to trade with the public [3, 4]. For example, big companies you assume are worth over \$1 billion such as Facebook and Twitter are no longer considered unicorns as they opened their shares to the public in 2012 and 2013, respectively [2].

Unicorn valuation is arbitrary [5] as lists published by companies such as The Wall Street Journal, Forbes, and TechCrunch all report different numbers of unicorns [2]. I gathered the top 5 unicorns from 3 lists, see **Table 1**.

	Fortune		TechCrunch		CB Insights	
	Company	Valuation (\$B)	Company	Valuation (\$B)	Company	Valuation (\$B)
1.	Uber	62 (2016)	Uber	69 (Dec 2017)	Uber	68
2.	Xiaomi	45 (2016)	ANT Financial	60 (Feb 2018)	Didi Chuxing	56
3.	Airbnb	25.5 (2016)	Didi Chuxing	56 (Dec 2017)	Xiaomi	46
4.	Palantir	20.5 (2016)	Xiaomi	45 (Jul 2017)	Meituan Dianping	30
5.	Didi Chuxing	16 (2016)	Airbnb	31 (Dec 2017)	Airbnb	29.3

Table 1: Top 5 unicorns according to Fortune [6], TechCrunch [7], and CB Insights [8].

All 3 lists contained the same 4 companies: Uber, Xiaomi, Airbnb and Didi Chuxing. Palantir, ANT Financial, Meituan Dianping do not appear in the top 5 of all 3 lists, but are still ranked in the top 10 of each list. Note that the valuations were taken at different times. After learning about unicorns, I was interested in special patterns that led to startups becoming unicorns, and I was also curious about the unicorn companies I have never heard about.

Uber

Uber is an app-based taxi service, but also provides modes of transportation such as luxury cars, helicopters, boats, and food delivery [9]. To use the service, one downloads the app on their phone and connects a credit card or other form of payment to the app. When wanting to commute to a certain locations, one inserts the address and Uber will give a price depending on distance, location, demand, and time of day.

Xiaomi

Xiaomi is China's largest and the world's 5th largest smartphone company. They also sell other products such as pedometers and smart home devices [10].

Airbnb

Airbnb allows users to rent or rent out lodging. One can rent out a room or an entire house for a certain length of time. Airbnb does not actually own any real estate but merely handles transactions made on their website, taking a small percentage for themselves [11].

Didi Chuxing

Didi Chuxing is equivalent to Uber in China, and has also acquired Uber China [12]. The company deals with 25 million rides per day, making it the world's largest ride-sharing company [12].

	Uber	Xiaomi	Airbnb	Didi Chuxing
Industry	- Transportation - Delivery	- Consumer electronics - Computer hardware	- Lodging	- Transportation
Founded	March 2009 8 years ago	April 2010 7 years ago	August 2008 9 years ago	June 2012 5 years ago
Unicorn Status	August 2013 4 years after company was founded	December 2011 1 year after company was founded	September 2011 3 years after company was founded	December 2014 2 years after company was founded
Head Quarters	USA	China	USA	China
Area Served	Worldwide, 633 countries	Select markets	Worldwide	China

Products	Mobile app, website	Smartphones, tablet computers, smart home devices, laptops	Hospitality service, peer-to-peer property rental	Mobile app, website
Revenue	▲ US \$6.5 B (2016)	▲ US\$15 B (2017)	▲ US \$2.6 B (2017)	N/A
Net Income	▼ US \$—2.8 B (2016)	N/A	▲ US \$93 M (2017)	N/A

Table 2: Comparison of 4 unicorns. [9, 10, 11, 12].

After analysing the stats of these 4 companies, there is no clear pattern between them. The time it took for the companies to become unicorns vary from 1 to 4 years after being founded. As well, Didi Chuxing shows that you do not need to serve the entire world to become a unicorn, as they only operate in China. Perhaps increasing the chances of your startup to become a unicorn is to take the idea of an already existing unicorn, and implement it in China.

Overall, Angela's talk was very captivating and educating; she taught a lot about the business, investment, and venture capitalist world in her short presentation. She especially caught my attention when she introduced unicorns, leading me to do research on my own and discover companies that I never knew existed.

Source Extracts

[1] "Unicorn (finance)", *En.wikipedia.org*. [Online]. Available: [https://en.wikipedia.org/wiki/Unicorn_\(finance\)](https://en.wikipedia.org/wiki/Unicorn_(finance)). [Accessed: 25- Feb- 2018].

"A **unicorn** is a startup company valued at over \$1 billion. The term was coined in 2013 by venture capitalist Aileen Lee, choosing the mythical animal to represent the statistical rarity of such successful ventures."

[2] "List of unicorn startup companies", *En.wikipedia.org*. [Online]. Available: https://en.wikipedia.org/wiki/List_of_unicorn_startup_companies. [Accessed: 25- Feb- 2018].

"In finance, a unicorn is a privately held startup company with a current valuation of US \$1 billion or more.

Notable lists of unicorn companies are maintained by The Wall Street Journal, Fortune Magazine, CNNMoney/CB Insights, and TechCrunch."

# Unicorns	Total valuation	Date	Reported by
82		Late January 2015	Forbes, CB Insights
229	US\$1.3 trillion	January 2016	VentureBeat
208	US\$761 billion	December 2016	TechCrunch
224	US\$771.9 billion	April 2017	TechCrunch
193	US\$665 billion	April 2017	Inc magazine

"Former unicorns: These companies were formerly unicorns, but exited the list due to IPO or acquisitions:"

Company	last valuation	valuation date	exit date	exit	exit valuation	Country
Facebook	US\$50 billion	January 2011	May 2012	IPO	US\$104 billion	 US

Twitter	US\$8 billion	September 2011	November 2013	IPO	US\$14.2 billion	 US
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[3] "Privately held company", *En.wikipedia.org*, 2018. [Online]. Available: https://en.wikipedia.org/wiki/Privately_held_company. [Accessed: 25- Feb- 2018].

"A **privately held company**, **private company**, or **close corporation** is a business company owned either by non-governmental organizations or by a relatively small number of shareholders or company members which does not offer or trade its company stock (shares) to the general public on the stock market exchanges, but rather the company's stock is offered, owned and traded or exchanged privately."

[4] "Startup company", *En.wikipedia.org*. [Online]. Available: https://en.wikipedia.org/wiki/Startup_company. [Accessed: 25- Feb- 2018].

"A **startup company** (**startup** or **start-up**) is an entrepreneurial venture which is typically a newly emerged, fast-growing business that aims to meet a marketplace need by developing a viable business model around an innovative product, service, process or a platform. A startup is usually a company designed to effectively develop and validate a scalable business model.

Start-ups have high rates of failure, but the minority of successes include companies that have become large and influential."

[5] P. Collard, "Why You Should be Building a Business, Not a Unicorn Startup", *Startupgrind.com*, 2017. [Online]. Available: <https://www.startupgrind.com/blog/why-you-should-be-building-a-business-not-a-unicorn-startup/>. [Accessed: 25- Feb- 2018].

"Rather than reflecting actual value, Unicorn valuations are inflated by intricate rounds of financing.

Some will say that any private company valuation is somewhat arbitrary. Very true. However, there are metrics that have been used for ages to estimate what a business is really worth: multiple of revenue, multiple of profit, discounted cash flow, comparable in an industry, cost of replacement, etc."

[6] "The Unicorn List 2016", *Fortune*, 2016. [Online]. Available: <http://fortune.com/unicorns/>. [Accessed: 25- Feb- 2018].

FORTUNE		THE UNICORN LIST		2016	
1.		Uber	San Francisco, Calif.	Transportation services	
2.		Xiaomi	Beijing, China	Consumer electronics	
3.		Airbnb	San Francisco, Calif.	Lodging services	
4.		Palantir	Palo Alto, Calif.	Data analytics software	
5.		Didi Kuaidi	Beijing, China	Transportation services	
6.		Snapchat	Venice, Calif.	Social media	
7.		China Internet Plus	Beijing, China	Internet services	

[7] "The Crunchbase Unicorn Leaderboard", *TechCrunch*, 2018. [Online]. Available: <https://techcrunch.com/unicorn-leaderboard/>. [Accessed: 25- Feb- 2018].

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Company	Post Money Value	Valuation Change	Total Equity Funding	Known Lead Investors	Country	Market
 Uber TechCrunch Coverage ⓘ	\$69B Dec 2017	0%	\$10.7B	(Seed Round) (Seed Round) First Round Capital (Angel Round) Benchmark (Series A) Menlo Ventures (Series B) GV (Series C) Fidelity Investments (Series D) Glade Brook Capital Partners (Series E) Baidu (Series E) Goldman Sachs (Debt Financing) Glade Brook Capital Partners (Series E) Tata Capital (Private Equity Round) Letterone Holdings SA (Private Equity Round) Saudi Arabia's Public Investment Fund (Series G) Morgan Stanley (Debt Financing) SoftBank (Funding Round)	USA	Transportation
 ANT Financial TechCrunch Coverage ⓘ	\$60B Feb 2018	-	\$4.5B	National Social Security Fund (NSSF) (Series A) China Investment Corporation (Series B) Alibaba Group (Corporate Round)	CHN	Financial Services
 Didi Chuxing TechCrunch Coverage ⓘ	\$56B Dec 2017	0%	\$17B	GSR Ventures (Series A) Tencent Industry Win-Win Fund (Series B) Temasek Holdings (Series D) China Life Insurance (Debt Financing) China Merchants Bank (Debt Financing) Apple (Funding Round) Foxconn Technology Group (Funding Round) Mubadala Investment Company (Private Equity Round) SoftBank (Private Equity Round)	CHN	Consumer Internet
				Morningside Group (Series A)		

 Xiaomi TechCrunch Coverage ⓘ	\$45B* Jul 2017	+200%	\$1.1B	Morningside Group (Series A)	CHN	Hardware
				Shunwei Capital (Series B)		
				Morningside Group (Series C)		
				Morgan Stanley (Debt Financing)		
				JP Morgan Chase & Co. (Debt Financing)		
				Deutsche Bank (Debt Financing)		
				(Funding Round)		
 Airbnb TechCrunch Coverage ⓘ	\$31B Dec 2017	+300%	\$3.4B	Y Combinator (Seed Round)	USA	Consumer Internet
				Sequoia Capital (Seed Round)		
				Greylock Partners (Series A)		
				Andreessen Horowitz (Series B)		
				Founders Fund (Series C)		
				General Atlantic (Series E)		
				Tiger Global Management (Series E)		
				Hillhouse Capital Group (Series E)		
				FirstMark (Series E)		
				JP Morgan Chase & Co. (Debt Financing)		
				TCV (Series F)		
				CapitalG (Series F)		
				CapitalG (Series F)		
				TCV (Series F)		

[8] "The Complete List of Unicorn Companies", *CB Insights*. [Online]. Available: <https://www.cbinsights.com/research-unicorn-companies>. [Accessed: 25- Feb- 2018].

Company	Valuation (\$B)	Date Joined	Country	Industry	Select Investors
Uber	\$68	8/23/2013	United States	On-Demand	Lowercase Capital, Benchmark Capital, Google Ventures
Didi Chuxing	\$56	12/31/2014	China	On-Demand	Matrix Partners, Tiger Global Management, Softbank Corp.,
Xiaomi	\$46	12/21/2011	China	Hardware	Digital Sky Technologies, QiMing Venture Partners, Qualcomm Ventures
China Internet Plus Holding (Meituan Dianping)	\$30	12/22/2015	China	eCommerce/Marketplace	DST Global, Trustbridge Partners, Capital Today
Airbnb	\$29.3	7/26/2011	United States	eCommerce/Marketplace	General Catalyst Partners, Andreessen Horowitz, ENIAC Ventures
SpaceX	\$21.5	12/1/2012	United States	Other Transportation	Founders Fund, Draper Fisher Jurvetson, Rothenberg Ventures
Palantir Technologies	\$20	5/5/2011	United States	Big Data	RRE Ventures, Founders Fund, In-Q-Tel

[9] "Uber", *En.wikipedia.org*. [Online]. Available: <https://en.wikipedia.org/wiki/Uber>. [Accessed: 25- Feb- 2018].

"UberX provides a private ride in a standard car for up to 4 passengers. UberPOP offers a compact or subcompact car. UberSELECT provides a car with a leather interior. UberBLACK offers a black luxury vehicle. UberXL provides a larger car that can seat up to 6 passengers. UberKIDS provides a car with a child safety seat. UberSUV offers an SUV. UberWAV offers a wheelchair accessible vehicle. UberPETS includes pet transport.

UberGo, available in India, provides for a ride in a hatchback

UberAUTO, available in Pakistan, provides transportation by auto rickshaw.

UberTAXI, which is available in some markets, allows users to summon a taxi using the Uber software application. Users pay an additional booking fee and can leave a gratuity through the app. The service is designed to appease taxi drivers who protest the increased competition from Uber.

UberEATS provides meal delivery from participating restaurants within 30 minutes, for a fee.

UberRUSH is a courier package delivery service available in New York City, San Francisco, and Chicago.

UberBOAT is a water-taxi service. In Istanbul, it offers transportation by Beneteau boats across the Bosphorus strait. It also offers speedboats in the summer along the coast of Croatia. UberBOAT has also run in other cities during special events such as across Biscayne Bay during Miami Art Week.

UberAIR (Uber Elevate) is a program expected to debut in 2020 in Los Angeles, Dallas-Fort Worth, and Dubai which consists of Vertical takeoff and landing (VTOL) aircraft, commonly known as "flying cars".

Uber Technologies Inc.

UBER

Formerly called	UberCab (2009–2011)
Type	Private
Industry	Transportation, delivery (commerce)
Founded	March 2009; 8 years ago
Founders	Travis Kalanick Garrett Camp
Headquarters	San Francisco, California, U.S.
Area served	Worldwide, 633 cities ^[1]
Key people	Garrett Camp (Chairman) Dara Khosrowshahi (CEO) Thuan Pham (CTO)
Products	Mobile app, website
Services	Vehicle for hire Delivery (commerce)
Revenue	▲ US\$ 6.5 B (2016) ^[2]
Net income	▼ US\$ -2.8 B (2016) ^[2]
Number of employees	12,000 + ^[3]
Divisions	UberEATS, Otto
Website	www.uber.com 

[10] "Xiaomi", *En.wikipedia.org*. [Online]. Available: <https://en.wikipedia.org/wiki/Xiaomi>. [Accessed: 25- Feb- 2018].

"Xiaomi Inc. is a Chinese electronics and software company headquartered in Beijing. Xiaomi designs, develops, and sells smartphones, mobile apps, laptops and related consumer electronics.

Xiaomi released its first smartphone in August 2011 and has rapidly gained market share in China to become China's largest smartphone company in 2014. As of 2017 Xiaomi is the world's 5th largest smartphone company. Xiaomi has expanded into

developing a wider range of consumer electronics, including a smart home (IoT) device ecosystem.”

Xiaomi



Native name	北京小米科技有限责任公司
Type	Private
Industry	Consumer electronics Computer hardware
Founded	6 April 2010; 7 years ago
Founder	Lei Jun
Headquarters	Haidian District, Beijing, China
Area served	Selected markets List: [show]
Key people	Lei Jun (CEO) Lin Bin (林斌)(President) Manu Kumar Jain (Vice president)
Products	Mobile phones Smartphones Tablet computers Smart home devices Laptops
Revenue	▲ US\$15 billion (2017)
Number of employees	Approximately 15,000 ^[1]
Subsidiaries	Huami Mijia Aqara Yeelight Amazfit
Website	Mi.com  Mi.com - International 

[11] "Airbnb", *En.wikipedia.org*, 2018. [Online]. Available: <https://en.wikipedia.org/wiki/Airbnb>. [Accessed: 25- Feb- 2018].

"Airbnb" is an American company which operates an online marketplace and hospitality service for people to lease or rent short-term lodging including holiday cottages, apartments, homestays, hostel beds, or hotel rooms, to participate in or facilitate experiences related to tourism such as walking tours, and to make reservations at restaurants. The company does not own any real estate or conduct tours; it is a broker which receives percentage service fees in conjunction with every booking. Like all hospitality services, Airbnb is an example of collaborative consumption and sharing. The company has over 4 million lodging listings in 65,000 cities and 191 countries and has facilitated over 260 million check-ins."

Airbnb, Inc.

	
Type	Privately held company
Industry	Lodging
Founded	August 2008; 9 years ago in San Francisco, California
Founders	Brian Chesky Joe Gebbia Nathan Blecharczyk
Headquarters	888 Brannan Street, San Francisco, California
Area served	Worldwide
Key people	Brian Chesky (CEO) Joe Gebbia (CPO) Nathan Blecharczyk (CTO)
Services	Hospitality service Peer-to-peer property rental
Revenue	▲ \$2.6 billion (2017)
Operating income	▲ \$450 million (2017)
Profit	▲ \$93 million (2017)
Number of employees	3,100 (2017)
Website	www.airbnb.com 
Footnotes / references	
[1][2]	

[12] "Didi Chuxing", *En.wikipedia.org*. [Online]. Available:

https://en.wikipedia.org/wiki/Didi_Chuxing. [Accessed: 25- Feb- 2018].

"Formed from the merger of rival firms Didi Dache and Kuaidi Dache (backed by the two largest Chinese Internet companies, Tencent and Alibaba respectively), it was initially valued (as of June 2016) at approximately US\$28 billion. DiDi acquired Uber's China unit on August 1, 2016. It is the only company to have all of China's three internet giants — Alibaba, Tencent, and Baidu — as its investors, In December 2017, DiDi closed a US\$4 billion financing round, becoming the most valuable start-up company in the world, with over US\$56 billion worth of valuation, and backed by over 100 investors.

Didi Chuxing is the world's largest and most valuable ride-sharing behemoth, with a monopolistic investment and M&A portfolio in the ride and bike sharing industry across the globe. The company carries 25 million rides per day, far surpassing the combined daily rides of all the other ride-sharing companies around the world."

Didi Chuxing
滴滴出行

	
Formerly called	Didi Kuaidi (Feb 2015–Sept 2015) Didi Dache, Kuaidi Dache (pre-Feb 2015)
Type	Privately held company
Founded	June 2012
Founders	Chéng Wéi (程维)
Headquarters	Beijing, China
Area served	Mainland China
Key people	Chéng Wéi (Founder and CEO) Liu Qīng (柳青) (President) ^[1]
Services	Vehicles for hire
Number of employees	over 7,000 ^[2]
Website	www.didichuxing.com/en/ 